

## Pharma's Godfather moment: pulled back into tariff uncertainty

The US Supreme Court invalidated President Trump's use of emergency authority to impose tariffs. Yet, we believe that Most Favored Nation (MFN) deals with pharmaceutical companies will hold, although additional US investments could be postponed until after the current transition period



Michael Corleone, whose iconic line echoes pharma's return to uncertainty after the latest tariff twist

### 'Just when I thought I was out...'

Just as 16 branded pharma companies struck investment deals with the Administration – trading MFN pricing for a temporary reprieve on tariffs – the US Supreme Court ruling marked the start of a messy transition period. In response, the Administration invoked Section 122 of the 1974 Trade Act, which permits tariffs of up to 15% for as long as 150 days, with the possibility of extensions.

Crucially, pharmaceuticals fall under enumerated exceptions, meaning the tariff does not apply to them. Yet the renewed uncertainty feels familiar. As Michael Corleone puts it in *The Godfather Part III*: “Just when I thought I was out, they pull me back in.”

### We expect MFN deals to hold

In spite of the messy transition period, we expect MFN deals to hold. This means that more investment in US manufacturing will happen, but it may be delayed until there is legal certainty

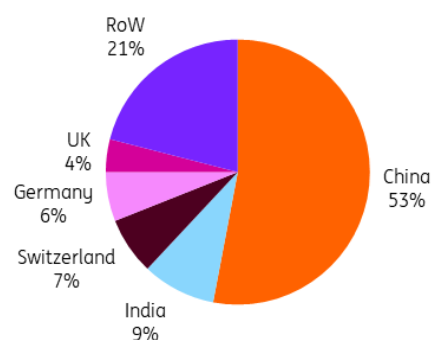
surrounding tariffs. Furthermore, the US government is unlikely to renege on its commitments to the branded pharma space, because TrumpRx and MFN have been touted by the Administration.

In addition, the sector is increasingly seen as integral to national security, which means there is a significant incentive to keep manufacturing and innovation close to home.

## Tariff on generics will remain zero

For the generic sector, where the supply chain mostly sits in Asia, we expect the tariff rate to remain zero. It would be political suicide to levy tariffs on generic pharmaceuticals because the supply chain will not relocate as a result of the tariff threat, which would mean higher drug prices. And since 91% of all US prescription drugs are generics, these effects would be felt quickly. Moreover, this Administration has committed itself to lower drug prices.

## The US imports more than half of its pharmaceuticals from China

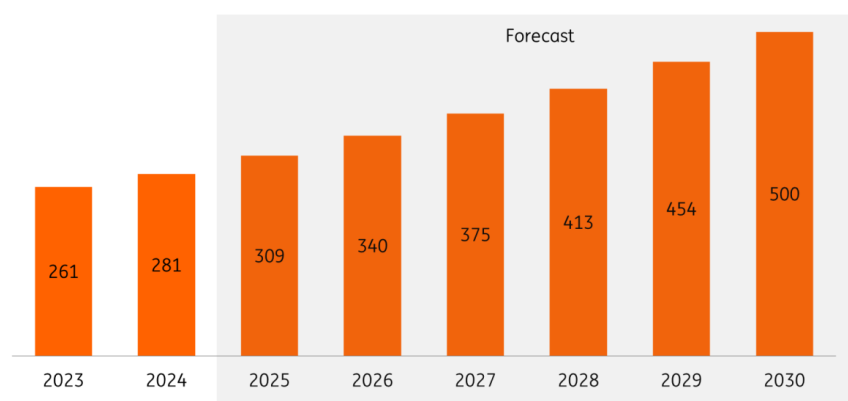


Source: United Nations Commodity Trade Statistics Database; BMI; ING

## CDMOs are beneficiaries

[As we have written about before](#), the net beneficiaries of these uncertain times are CDMOs who offer a way out of uncertainty. As companies can use CDMO capacity to localise their manufacturing, this is why we expect high single-digit CDMO growth until 2030.

## Global CDMO market to experience strong growth until 2030



Source: ING forecast based USD and Grandview Research

## Author

### Diederik Stadig

Senior Economist, Healthcare & Technology

[diederik.stadig@ing.com](mailto:diederik.stadig@ing.com)

## Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).

# Rethinking transatlantic power: Why trade dependencies cut both ways

The transatlantic debate often frames Europe as overly dependent on the United States, often ignoring the fact that Europe also holds some important cards. However, before getting overly enthusiastic about a stronger European stance in possible new trade negotiations, Europe should address some construction flaws in its own trade bazooka



The EU's Ursula von der Leyen with President Trump in Scotland last year

## Beyond American dominance

When it comes to trade relations and negotiations, the US is often portrayed as the superpower, using tariffs as threats to extract favourable outcomes. You could easily see this pattern during the first round of EU-US trade negotiations, which resulted more or less in [damage control for Europe](#) rather than a mutually beneficial agreement.

Following the [Supreme Court ruling](#) restricting President Trump's use of the International Emergency Economic Powers Act (IEEPA) as well as new tariff threats during the Greenland conflict, uncertainty about new US trade actions resurfaced. Contrary to the negotiations last summer, the EU has taken a tougher stance, freezing ratification of the current deal and contemplating retaliatory trade actions.

Is this new stance simply a 'whistling in the dark' phenomenon, or has the EU fundamental reasons to take a more aggressive stance vis-à-vis America?

## Trade volume is not everything

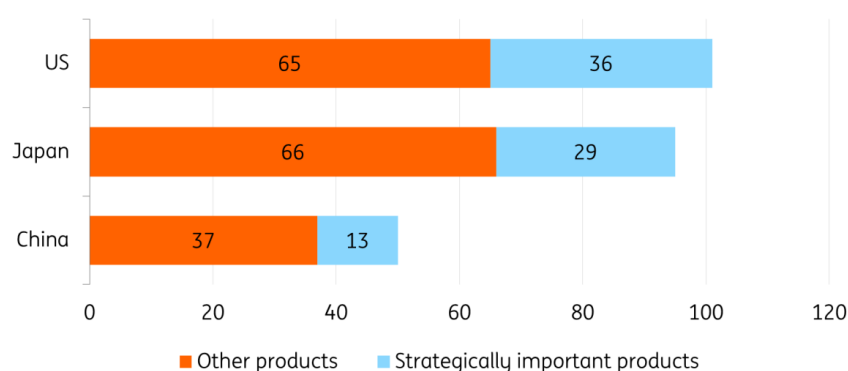
The fact is that the US and EU remain deeply intertwined through trade. In 2025, the European Union was the largest foreign supplier to the United States, accounting for USD 633 billion in exports and 19% of total US imports, according to the US Census Bureau. In the other direction, the United States supplied around 14% of all extra EU imports, underscoring the depth of the transatlantic trade relationship.

However, economic leverage in trade does not so much stem from how much a country exports, but rather from how easily those exports can be replaced. Highly complex, scarce or strategically sensitive goods, such as critical raw goods, complex machinery or patent-protected pharmaceuticals, typically have a low short-term substitutability, so buyers cannot easily switch to alternative suppliers. This limited substitutability increases the economic cost of trade disruptions, thus raising the exporter's bargaining power.

The notion of substitutability has several distinct dimensions, which we define and categorise in line with the approach developed by [CEPII](#). Simply speaking, a country's trade vulnerability depends on how many suppliers it relies on, whether it could switch to others globally or produce the good itself, and how long-lasting and strategically critical that dependence is. The fewer the alternatives and the more essential the sector – think chemicals, pharmaceuticals, steel, defence, transport or electronics – the greater the risk if supply chains break down.

## Europe's hidden leverage: Where global economies rely on the EU

Number of product lines where countries depend on EU suppliers (2024)



### Key notes

Strategic important products are defined as the chemical, pharmaceutical, steel, defence, transport, and electronic products, where supply disruptions can have outsized economic and security implications.

Based on the CEPII methodology, we identify 468 EU and 462 US import dependencies out

of 4400 product lines, of which respectively 129 and 119 are deemed strategically important. The EU's exposure is heavily skewed towards China, which accounts for 63 strategic product dependencies (50% of all strategic dependencies), while US-based dependencies amount to only 17 products, or about 14% of the EU total.

By contrast, US dependencies are mainly split between China (48 products or 40%) and the EU (36 products or 30%). Based on this analysis, the US depends more on the EU (36 products) than the EU does on the US (17 products).

Within this landscape, country level heterogeneity is pronounced, with the three largest EU economies accounting for the majority of identified dependencies (22 out of 36). Germany stands at the centre, accounting for 13 of the 36 EU linked import dependency product lines. These dependencies are concentrated in areas that closely align with Germany's industrial strengths: chemicals and pharmaceuticals.

## Renewed tensions and tariff threats spark retaliatory discussion

New tensions resurfaced after President Trump threatened to “cut off all trade with Spain” following Madrid's refusal to grant access to its military bases. At the same time, tariff uncertainty is rising again, with Section 122 rather than IEPPA in play for broad based tariffs under a strict 150 day timeline, while Section 301 investigations were initiated just this week. EU lawmakers will reconvene on March 17 to decide whether to unfreeze the ratification process of the current US-EU trade agreement.

EU leaders also discussed the potential activation of the Anti Coercion Instrument (ACI), the EU's so far unused “trade bazooka.” The ACI would allow Brussels to impose retaliatory measures, potentially including export controls, which could cause substantial economic damage.

Politically, however, the ACI is contentious: France is the loudest advocate of activating it, while Germany would be hit the hardest by any export-related retaliation due to its industrial structure and trade exposure. Or in other words, Europe would probably hit the US economy more by limiting its exports of advanced chemicals or pharmaceuticals rather than of wine and cheese. This asymmetry immediately raises questions about intra-EU compensation for companies affected by any export restrictions under the ACI. A topic that has not been discussed in public so far and which would be a clear test case for European solidarity if the ACI was ever activated.

## A more assertive Europe?

The EU recently also strengthened its global trade footprint with the preliminary enforcement of the [Mercosur trade agreement](#) and the [EU-India agreement](#). While both deals hold meaningful long-term potential and signalling power that Europe does not stand still, they are still far from matching the scale or economic weight of the US market.

In any upcoming discussions between the US and the EU, both sides should carefully consider how their economies are intertwined and how quickly this can turn into a point of friction, harming both sides. Any renewed trade tensions could easily spill over into other policy areas.

A closer look at the trade dependencies between both blocs shows that Washington has more to lose than is often assumed. At the same time, however, Europe should ensure that its tools are actually functional to avoid a trade bazooka suddenly turning into a water gun due to internal political constraints.

## Author

### Carsten Brzeski

Global Head of Macro

[carsten.brzeski@ing.de](mailto:carsten.brzeski@ing.de)

### Ruben Dewitte

Economist

+32495364780

[ruben.dewitte@ing.com](mailto:ruben.dewitte@ing.com)

### Julian Geib

Junior Economist, Global Trade

[julian.geib@ing.de](mailto:julian.geib@ing.de)

## Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).



## Why the bar is high for the Bank of England to hike rates

We expect the Bank of England to keep rates on hold at its 19 March meeting. Financial markets are increasingly pricing a rate hike this year. But the economy looks very different to when the 2022 energy shock arrived. We think rate cuts are still more likely than hikes, though we could be in for a long pause should energy disruption linger



The Governor of the Bank of England, Andrew Bailey, speaking last month

### The Bank of England will be sensitive to the energy price spike

Out of all the central banks, it's tempting to say that the Bank of England is going to be among the most sensitive to the rise in energy prices. That's certainly the way markets see it.

The repricing to short-term interest rate expectations has been more dramatic for the UK than the eurozone or especially the US. Investors have swung from pricing 50bp of easing in 2026 on the eve of the Iran conflict, to 20bp of rate hikes now. The memories of the 2022 inflation spike are evidently still fresh.

As things stand, if the current price levels endure, we think we'd see inflation spike to around 3.5% by late summer. And that's before we consider the knock-on effects beyond petrol/diesel and household energy bills.



Yet we think the bar for the Bank to actually hike rates is high. The economic backdrop is very different to 2022. The jobs market is considerably weaker. Vacancy rates are well below pre-Covid levels, and the drop has been more acute than in other developed economies. Wage growth is falling, not rising as it was four years ago.

Back in 2022, the UK economy was also still riding the tailwind of Covid-era fiscal stimulus. It was aided by significant government support, chiefly the £2500 household energy cap, which, together with other measures, amounted to 2% of GDP in FY2022.

This time, fiscal policy is a headwind; the deficit is falling this year, driven by the freeze in tax brackets. Meanwhile, the government's ability to respond as it did in 2022 is heavily diminished. 10-year bond yields are more than 3 percentage points higher than they were at the time of the Ukraine invasion. And the same is true more or less everywhere; the UK economy isn't going to ride on the coattails of fiscal stimulus elsewhere, as it was able to four years ago.

## 2025 is a better playbook than 2022

The problem in 2022 was that the spike in energy prices morphed into a surprisingly long-lasting and sticky bout of service-sector inflation. All of the above suggests the reaction this time will be more muted. And we think the way the economy reacted to last April's tax and minimum wage hikes is a case in point.

Take hospitality, a sector that bore the brunt of both the energy price spike in 2022 and last year's policy changes.

Four years ago, the sector dealt with higher energy bills by hiking prices, rising 15% above trend by late 2023, with minimal impact on employment. Sure, this also coincided with the post-Covid recovery and the staff shortages that came with it. But the sector found itself with some pricing power to pass on the cost hit without impacting jobs.

Last year, the story was very different. Faced with higher payroll taxes and a sharp rise in the National Living Wage, the sector shed jobs at a faster pace. Employment is 1% below the pre-April 2025 trend (a trend that was already pointing downwards). This was a sector that had found itself overstaffed post-Covid (evident in falling productivity), and those policy changes proved to be the catalyst for a reset. Arguably, this process has further to run, and the energy price shock will only amplify that.

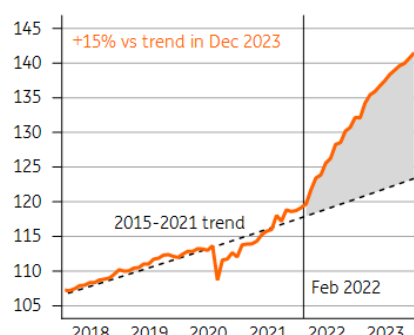
Prices, by contrast, have shown very limited reaction. And remember, this all coincided with a period of higher food inflation, an issue for these catering businesses.

## 2022 vs. 2025: How the hospitality sector responded

### 2022 Ukraine invasion & energy spike

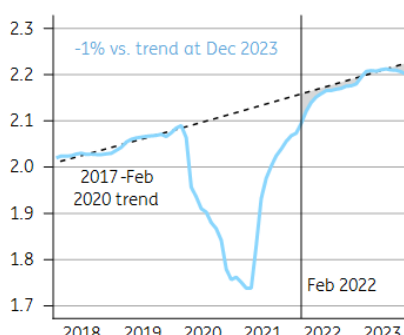
**CPI - Restaurants and hotels**

Price index



**Employment - Accommodation & food services**

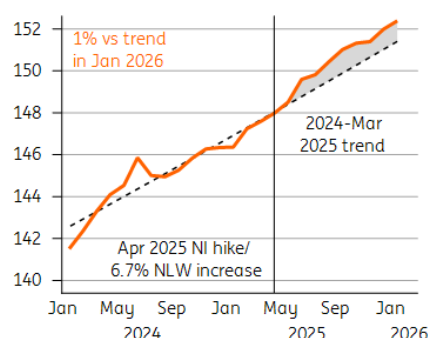
Million workers



### 2025 National Insurance & minimum wage hike

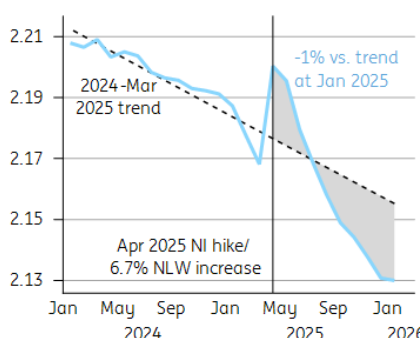
**CPI - Restaurants and hotels**

Price index



**Employment - Accommodation & food services**

Million workers



Source: Macrobond, ING

Price data seasonally-adjusted by ING

That is just one sector, but an important one: it's often cited as a barometer for underlying economic performance and inflationary pressure. And it's an important reminder that the risk of second-round wage and inflation from shocks like higher energy prices is much diminished compared to 2022. Most BoE officials were increasingly reaching this conclusion too at the December and February meetings.

So where does that leave the March meeting? A rate cut is clearly off the table, where it had been looking highly likely before the Iran invasion. At a minimum, Governor Andrew Bailey, who would have likely had the deciding vote, will be minded to vote for a pause.

At this stage, it's too early to say anything sensible about the precise macro implications without knowing how long the conflict and closure of the Strait of Hormuz will last. And with no press conference or forecasts this month, we suspect the Bank will use the policy statement simply to play for time, with forward guidance that says any further rate cuts will depend on the evolution of energy prices and the impact on expectations.

The main question is how many officials do still vote for a cut. We suspect Swati Dhingra and Alan Taylor, both determined doves, will keep doing so. Our base case is for a 7-2 vote in favour of no change. If more officials vote for a cut, then that should help temper the rate hike pricing within markets.

Ultimately, we still think the next move in rates is more likely down than up. If by the time of the April meeting, energy prices have fallen back – say to 70-75 USD/bbl on oil and 35 EUR/MWh on gas – then we think there's a chance the Bank could still cut rates at that point. Such a scenario would point to headline inflation staying below 3%, which officials would be minded to "look through".

In a scenario where the disruption lasts longer, risking inflation closer to 4%, then the Bank will likely be more cautious. We suspect it would wait and see how firms react in surveys through the summer, on questions like wage growth expectations. That would point to a prolonged pause, but we think we could still see further easing later in the Autumn/into winter.

## Author

**James Smith**

Developed Markets Economist, UK

[james.smith@ing.com](mailto:james.smith@ing.com)

## Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).

## FX Daily: Bracing for a prolonged shock

The dollar is pushing to new highs for the month as the market struggles to see a way out of the Middle East crisis. European and Asian equity markets have been hit harder than those of the US, and the longer the crisis goes on, the greater this divergence will become. A firm reading on the Fed's preferred inflation gauge could add to the dollar's rebound



### USD: Staying long dollars into the weekend

Measures by global authorities to limit the rise in energy prices have so far had little effect on the market. These measures include a 400 million barrel release by IEA members and, now, the US Treasury's formal approval of the sale of Russian energy products until 11 April. The reality is, however, that it is impossible to replace the 20m barrels per day of crude being shut-in by the military conflict in Iran. Brent remains stubbornly above \$100/bl as the US and Israeli militaries fail to prevent attacks on oil tankers moored in the region. Investors are now bracing for multi-month disruption. Ten days into the war, on 10 March, investors were attaching a 79% chance that traffic in the Straits of Hormuz would return to normal by 30 April. That chance is now priced at just 44%. The market probably has little confidence that Iran can be bombed into submission and instead will be looking for any paths to a halt in hostilities, be that through a ceasefire or Washington declaring mission accomplished.

Away from the Middle East, today's US data should also feed into this month's hawkish re-pricing trends of central bank policy. The Fed's preferred measure of inflation, the core PCE index, is expected to rise to 3.1% year-on-year in January. This hit a low point of 2.6% last summer and has since been trending away from the Fed's 2% target. This limits the ability of the Fed to cut rates this year, and we will hear a lot more from the Fed at next Wednesday's FOMC meeting. Today will also see the release of US job openings data for January. We doubt any surprisingly soft reading will weigh on expectations for Fed policy or the dollar for long today.

Yet this month's dollar rally has not been driven by interest rate differentials, but by the macro fallout of higher energy prices. Here, European and Asian equity benchmarks have been marked 6-7% and 8-9% lower, respectively, this month. The US S&P 500 and the Nasdaq are off just 3% and 1.5%, respectively, as US energy independence cushions US markets. We doubt these trends will change until energy starts flowing in the Gulf again.

The DXY is pushing to new highs for the month today and looks to have its sights set on last summer's high in the 100.25/35 region. We cannot see investors wanting to fight this dollar rally, given there is so little certainty as to when this crisis will end. And traders, once again on a Friday, will not want to run any short dollar balances ahead of the weekend event risk.

*Chris Turner*

## ⬇ EUR: Nowhere to hide

EUR/USD is just breaking below 1.1500 in early Europe. European corporates with dollar receivables are welcoming the news, but for the vast majority of European corporates, the higher dollar payables of energy costs are painful. Below 1.1470, there is little support until the 1.1390/1400 lows seen in early August last year.

Another trend that bears watching is the widening in peripheral eurozone sovereign spreads. Our rates team touches on the subject [here](#). Low volatility and the search for carry had seen the markets drive peripheral spreads to very narrow levels indeed earlier this year – e.g. 50bp for 10-year Greece-Germany sovereign spreads. The current widening probably reflects just de-leveraging, but investors will now be tracking government support measures to protect consumers from higher energy prices and what that means for the fiscal outlook. Again, that could be a bigger story for Europe than for the US.

EUR/USD could struggle to make it back above 1.1500/1525 today unless there is some clearly positive news out of the Gulf.

*Chris Turner*

## ⬇ JPY: Firmly in intervention territory

USD/JPY is now firmly in intervention territory. If we do see intervention, the market will be looking out for whether it is just Japanese intervention, whether the Fed is selling USD/JPY just as an 'agent' for the Bank of Japan or whether this is a fully joint intervention with the Fed doing 'own account' intervention for the US Treasury.

The first two options probably only have a limited and short-term negative impact on USD/JPY, while the third option might be longer lasting and tap into ideas that Washington is ready to fight the recent dollar strength. We felt a couple of weeks ago that one week USD/JPY traded volatility

was too low at under 10%, and it could easily be marked through 12% as USD/JPY threatens 160.

The problem for authorities in Tokyo and Washington, however, is that USD/JPY will not turn sustainably lower until energy prices reverse.

*Chris Turner*

## 📌 ZAR: Rand unwind continues

Late last year and into early 2026, long South African rand positions had been some of the most popular. Low inflation and a central bank switching to a new, lower inflation target had encouraged inflows into its local currency bond market. And the rand's exposure to the precious metals story was a major positive as gold and platinum surged. Fast-forward to March, and the low inflation environment is under pressure, higher volatility is forcing de-leveraging of carry trade positions and precious metals are not deriving any further benefit from the inflation shock.

17.00/17.25 is the near-term risk for USD/ZAR, with an outside risk of 17.75 next week if energy prices go another leg higher and global equity markets take another major leg lower.

*Chris Turner*

### Author

#### Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

[chris.turner@ing.com](mailto:chris.turner@ing.com)

#### Francesco Pesole

FX Strategist

[francesco.pesole@ing.com](mailto:francesco.pesole@ing.com)

#### Frantisek Taborsky

EMEA FX & FI Strategist

[frantisek.taborsky@ing.com](mailto:frantisek.taborsky@ing.com)

### Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom

this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).



## Asia week ahead: Rate decisions in Japan, Australia, Taiwan and key China data

Japan, Australia and Taiwan will announce interest rate decisions, while China releases key data on retail sales, fixed-asset investment, industrial production and housing prices



### Asia Research highlights of the week

[China's inflation hits 37-month high ahead of upcoming oil price shock](#)

[Japan's stronger GDP and limited gas price risks support a BoJ rate hike in June](#)

[China's trade growth starts 2026 strong with biggest gain in four years](#)

[Oil shock for Asia: identifying the key pressure points](#)

[South Korea's gasoline price cap should anchor CPI inflation near 2%](#)

### Japan: BoJ expected to keep rates steady amid global uncertainty

We expect the Bank of Japan to keep its benchmark rate at 0.75% on Thursday as policymakers

assess the impact of earlier hikes. We believe a minor vote in favour of a rate hike is possible. It will be important to examine closely how the BoJ evaluates the economic fallout from the Middle East conflict and the results of the spring wage negotiations. These factors will influence whether a rate hike occurs in April or June.

## **Australia: Macro data to support a rate hold**

With most of the macro data since the last policy review — including CPI inflation, growth, and labour indicators — remaining strong, a rate hike by the Reserve Bank of Australia is certainly on the table for Tuesday. But given the current global uncertainty, we think the RBA is more likely to wait until May. This would give policymakers additional time to assess whether inflationary pressures are broadening beyond housing.

## **China: Overall sluggish growth expected**

China is scheduled to release a number of hard economic activity reports for January and February on Monday. We expect the data to show that the domestic economy continues to get off to a sluggish start in 2026. We look for a slight recovery in retail sales to 1.5% year-on-year, and for fixed-asset investment to start the year soft at 2.0% YoY after a record-low contraction in 2025. Industrial production is likely to be the lone bright spot, with 5.0% YoY growth expected for the first two months of the year. The National Bureau of Statistics will publish its 70-city housing price data. It's expected to show further deterioration in February. Policymakers have signalled the importance of domestic demand this year. But it will likely take time for data to show the economy starting to recover.

## **Taiwan: Steady rates expected amid consistent growth**

We expect no change in Taiwan's 2% benchmark interest rate when the central bank meets on Thursday. With inflation under target and growth consistently exceeding expectations, there's no urgency to either cut rates or hike them at this point. Additionally, export orders are set for release on Friday. We expect a Lunar New Year-related slowdown to 17.2% YoY, down from 60.1% in January.

## Key events in Asia next week

| Country                   | Time (GMT+8) | Data/event                         | ING   | Prev.   |
|---------------------------|--------------|------------------------------------|-------|---------|
| <b>Monday 16 March</b>    |              |                                    |       |         |
| China                     | 1000 Feb     | Fixed Asset Investment (YoY%. ytd) | 2     | -3,8    |
|                           | 1000 Feb     | Industrial Output (YoY%)           | 5     | 5,2     |
|                           | 1000 Feb     | Retail Sales (YoY%)                | 1,5   | 0,9     |
| India                     | 1430 Feb     | WPI Inflation (YoY%)               | -     | 1,8     |
|                           | 1830 Feb     | Unemployment Rate                  | -     | 5,0     |
|                           | 1830 Feb     | Balance of Trade (USD bn)          | -     | -34,7   |
| <b>Tuesday 17 March</b>   |              |                                    |       |         |
| Australia                 | 1130 Mar     | RBA Cash Rate                      | 3,85  | 3,85    |
| Indonesia                 | 1530         | Interest Rate Decision             | -     | 4,75    |
| <b>Wednesday 20 March</b> |              |                                    |       |         |
| Japan                     | 0750 Feb     | Exports (YoY%)                     | 2     | 16,8    |
|                           | 0750 Feb     | Imports (YoY%)                     | 12    | -2,5    |
|                           | 0750 Feb     | Trade Balance (JPY bn)             | -1000 | -1152,7 |
| South Korea               | 0700 Feb     | Unemployment Rate                  | 2,7   | 3       |
| <b>Thursday 19 March</b>  |              |                                    |       |         |
| Japan                     | 1100         | BoJ Rate Decision                  | 0,75  | 0,75    |
| Australia                 | 0830 Feb     | Unemployment Rate                  | -     | 4,1     |
| Philippines               | 1600 Jan     | Budget Balance (PHP bn)            | -     | -313,2  |
| Taiwan                    | 1600         | Interest Rate Decision             | 2     | 2,00    |
|                           | 1620 Feb     | Money Supply - M2 (YoY%)           | -     | 5,2     |
| <b>Friday 20 March</b>    |              |                                    |       |         |
| China                     | 0900 Mar     | Loan Prime Rate 1Y                 | -     | 3       |
|                           | 0900 Mar     | Loan Prime Rate 5Y                 | -     | 3,5     |
| Taiwan                    | 1600 Feb     | Export Orders (YoY%)               | 17,2  | 60,1    |

### Author

#### Deepali Bhargava

Regional Head of Research, Asia-Pacific

[Deepali.Bhargava@ing.com](mailto:Deepali.Bhargava@ing.com)

#### Lynn Song

Chief Economist, Greater China

[lynn.song@ing.com](mailto:lynn.song@ing.com)

#### Min Joo Kang

Senior Economist, South Korea and Japan

[min.joo.kang@ing.com](mailto:min.joo.kang@ing.com)

### Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by

the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).

## Watch: Your oil questions answered

ING's Commodity Strategist, Warren Patterson, on the global oil crisis, the options for world leaders and the markets, and what's going to happen to crude prices as the conflict with Iran continues.

Warren has also written about world gas prices; [click here](#) for that



### Your oil questions answered

The price of oil continues to fluctuate, with Brent crude sometimes passing \$100 a barrel. That's despite the International Energy Agency announcing it would release a record amount of supplies. So what options are there, and what will it take for oil to return to the levels we saw before the conflict with Iran began? ING's Warren Patterson explains the Strait of Hormuz dilemma and what he expects to happen next.

[Watch video](#)

### Author

**Warren Patterson**

Head of Commodities Strategy

[Warren.Patterson@ing.com](mailto:Warren.Patterson@ing.com)

## Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).



# Eurozone households are first to feel the pain of the current oil price shock

Fuel prices are surging again, and for many households, filling up now hurts almost as much as during the 2022 energy crisis



In some eurozone countries, the cost of a 50ℓitre tank of petrol has risen to levels last seen in 2022 when Russia invaded Ukraine

It's a fast-moving environment, which currently only allows to think in terms of scenarios rather than conviction calls. And while forecasters around the globe are currently grappling to adjust their macro forecasts – uncertain about how long the war in the Middle East and the disruption to the Strait of Hormuz will last – one part of the economy is already feeling the economic pain: households. More precisely, car-driving households. Any surge in oil prices is felt most immediately in one place – the petrol station.

## Pain at the pump for European consumers

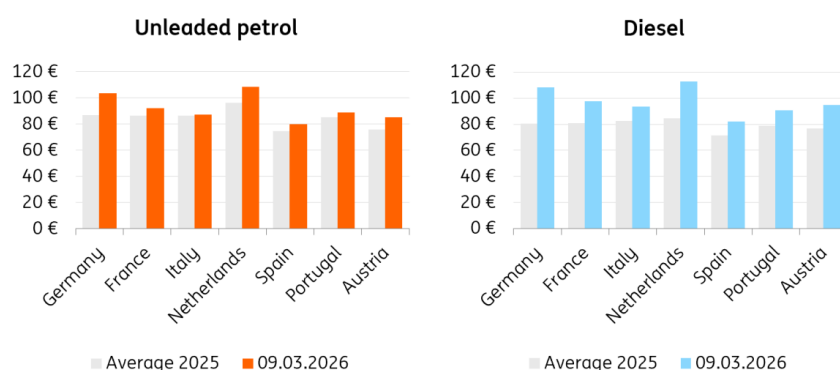
Our colleague Warren Patterson has written extensively on [recent oil price developments](#) and the [possible scenarios ahead](#). We also know that it takes a while for the full macro impact of higher energy prices to unfold. Industrial companies typically hedge (at least some of) their energy purchases in forward markets, while households' utility contracts usually run for one or two years. This was, for example, one of the reasons why during the 2022 energy crisis, it was energy companies that ran into financial trouble first, as they were unable to pass on higher procurement costs to end consumers. One place where consumers are not shielded by hedging strategies or



longer term contracts, however, is at the petrol station.

Even before oil prices reached this week's painful highs, the jump in retail fuel prices had already pushed the cost of a standard 50 litre tank of petrol to levels last seen in 2022 in several major eurozone economies. Compared with the week before the joint US Israeli strike on Iran, the price of a tank of unleaded petrol has risen by between €4.50 in Italy and €13.00 in Germany. For diesel, the increase has been even steeper, ranging from €8.40 in Italy to €21.50 in Germany. Relative to the 2025 annual average, German households have been hit particularly hard: they are now paying roughly €17.00 more per tank of unleaded petrol and around €28.00 more for diesel than they did on average last year. Dutch households are facing a similarly sharp increase in fuel costs.

## Cost of filling a 50-litre tank with unleaded petrol or diesel

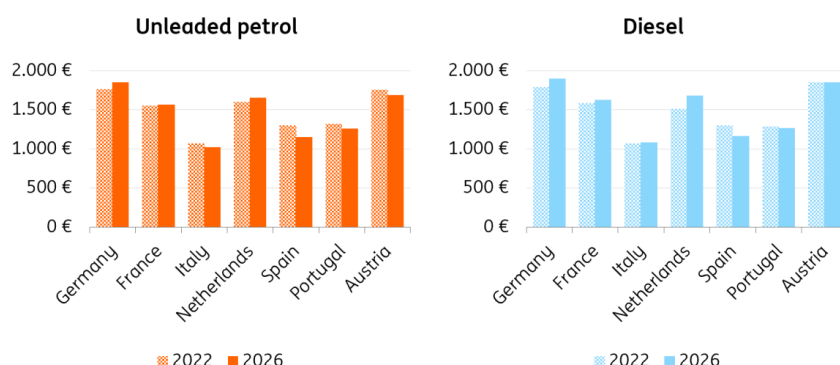


Source: European Commission; ING Economic & Financial Analysis

The fact that prices within the eurozone, and across fuel types, vary widely in general is also due to excise duties, for which there is a minimum threshold of €0.359 per litre of unleaded petrol and of €0.330 per litre of diesel set by the EU. However, most member states have set higher values, resulting in an average excise duty on petrol of €0.570 per litre and of €0.468 per litre on diesel. At €0.845 per litre, the duty on unleaded petrol is highest in the Netherlands, while at €0.673, Italy has the highest duty on diesel. These tax differentials are the main reason why two households facing the same global oil price can still experience very different fill up costs.

The extent to which these price increases cut into household budgets also depends heavily on how much people drive per year. At almost 14,000 kilometres, Austria tops the 2023 list – the most recent date for which comparable data is available, followed by Germany with around 12,500 kilometres per year. This means the same price increase hits Austrian and German households much harder than, for example, Italians, who drive only around 8,000 km per year.

## Average annual fuel expenses



European Commission; Odysee Mure; ING Economic & Financial Analysis; based on an average fuel consumption of 7.35 liters per 100 kilometers; 2026 is based on the assumption that the price from the 10th calendar week will apply for the rest of the year.

Looking at driving behaviour in recent years shows that cutting fuel costs by simply driving less is unlikely. Significant deviations from the long term average only occurred during the pandemic years, when widespread working from home arrangements reduced the need to commute. Gasoline prices were not a motive. Since then, mileage patterns have started to normalise, suggesting limited scope for households to offset higher prices by changing their driving habits.

Ultimately, this implies that eurozone households will once again need to devote a larger share of their disposable income to fuel, with German households facing the largest increase. For them, the share of disposable income spent at the fuel pump is expected to rise to 3.5%, up from 2.8% last year. Overall, the share of disposable income devoted to fuel ranged from around 2% in the Netherlands and 4.5% in Portugal last year.

## Drivers might slam the brake on any recovery in private consumption

Although we currently assume in our base case scenario that the impact of the war in the Middle East on markets, and thus on the eurozone economy, should not be long-lasting, the recent rise in energy prices is likely to put additional strain on consumer confidence, which is already markedly low. Given the old adage that gasoline prices rise like a rocket but fall like a feather, it is not just confidence that is being hit, but actual purchasing power.

## Author

### Carsten Brzeski

Global Head of Macro

[carsten.brzeski@ing.de](mailto:carsten.brzeski@ing.de)

### Franziska Biehl

Senior Economist, Germany

[Franziska.Marie.Biehl@ing.de](mailto:Franziska.Marie.Biehl@ing.de)

## Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).

## ECB preview: Time for a panic room in the ECB's 'good place'

The war in the Middle East and the surge in oil prices revive memories of the ECB's more traumatic experience in recent times: the 2022 oil price shock. While we expect the ECB to remain on hold next week, a more hawkish tone should show that these 2022 memories are still very much alive



ECB President Christine Lagarde in Italy last week

We don't know if ECB President Christine Lagarde has a favourite actor, but if the run up to next week's meeting was turned into a Hollywood film, Jodie Foster would be our pick – not as Clarice Starling in *The Silence of the Lambs*, but as the mother hiding from burglars in a panic room. For the ECB, the war in the Middle East and rising energy prices are the intruders threatening Lagarde's 'good place'. The key question for next week is what Lagarde and the rest of the Governing Council decide to do from inside their own panic room.



Jodie Foster in *Panic Room*: a mirror for an ECB bracing against geopolitical and energy price intruders

## War in the Middle East takes any rate cut discussion off the table

By the time the ECB meets on 19 March, the macro backdrop will have shifted markedly since the last meeting. With the conflict in the Middle East, the risk of inflation undershooting – and any discussion of further rate cuts – should be firmly off the table. Gone is a scenario in which a stronger euro could push down the ECB's own inflation forecasts for longer, leading to a more controversial debate on inflation undershooting and what it would mean for the ECB's credibility.

Oil prices were already rising, and the outbreak of war in the Middle East likely coincided with the cut off date for the ECB's latest forecasting round. But recent market moves will have rendered those projections outdated almost immediately. Like everyone else, the ECB can only work with a range of oil price scenarios. At this point, anything is possible – from a short-lived episode of higher oil prices and some supply chain frictions, to a full-blown energy crisis. The big question for the ECB is, therefore, no longer how to react to an inflation undershooting but rather how to react to another oil price shock.

Tackling oil price shocks has been an important challenge for global central banks since the 1970s. In the case of the ECB, the thinking about how to react to oil price shocks has clearly evolved over the last 25 years.

**Phase 1 (1999–2004): “Don’t repeat the 1970s”.** When the ECB was launched, oil prices had just hit a two-decade low but were beginning to rise. Back then, oil shocks were treated as exogenous, supply-side events. What mattered was the domestic response, particularly on wages and inflation expectations, and not so much the source of the shock. For the ECB, reacting to oil price shocks meant preventing second-round effects.

**Phase 2 (2004–2008): “It’s the source that matters”.** By the mid-2000s, the ECB's approach became more sophisticated, distinguishing between direct effects on consumer prices and disposable income, indirect effects through the pass-through of higher input costs, and the critical importance of avoiding second-round effects through “appropriate wage reactions.” This tripartite

distinction became the standard ECB analytical vocabulary for oil price shocks. The ECB also started paying attention to the source of oil price movements. Demand-driven oil price shocks in the eyes of the ECB asked for a much more hawkish reaction than supply-driven shocks. However, even this distinction did not prevent the ECB from making mistakes. In 2008, the ECB under President Jean-Claude Trichet hiked rates, attempting to avoid second-round effects, when the financial crisis was in full swing. A move that had to be corrected only a few months later.

**Phase 3 (2010–2020): “Look through becomes consensus”.** In the 2010s, the ECB’s view on how to react to oil price shocks took a turn. Based on academic work but also the deflationary or disinflationary episodes, not only the ECB but many major central banks started to look through oil price shocks, focusing on core inflation and inflation expectations. The reasoning was straightforward: oil price shocks had historically been short-lived, and tightening policy in response would likely push down on demand and inflation precisely as the shock was already reversing – amplifying rather than correcting the disruption. This “look through” doctrine was reinforced by the structural observation that the pass-through of oil price shocks to wages and core inflation had declined significantly since the 1970s and 1980s.

**Phase 4 (2021–present): “The failed look through”.** The 2021-22 episode exposed the limits of the “look through” framework and generated a significant ECB rethink, both on substance and communication. In early 2021, the ECB applied the standard “look through” logic to the initial post-pandemic energy price surge. Inflation was described as “transitory”, a word that became the label of a wrong assessment. Little did they know. Since then, the question is no longer just “is this an oil shock?” but: “what is the starting level of inflation? Are expectations already at risk? Is the shock compounding other inflationary pressures? How persistent is it likely to be?” ECB Executive Board member Isabel Schnabel signalled this new conditionality explicitly: “Monetary policy, for its part, cannot afford to look through energy price increases if they pose a risk to medium-term price stability.” The look-through is conditional, no more automatic.

## What do the lessons of the past mean for the current situation?

What do the lessons of the past now mean for the ECB’s current reaction? We shouldn’t forget that the 2022 misjudgement has been imprinted in the ECB’s institutional memory since then. Whether or not it is the right approach, the 2022 experience will shape the current thinking.

Admittedly, this is not yet a 2022 environment as it is mainly a price shock and not a supply shock; Europe doesn’t have to ‘derisk’ from a single energy provider. The labour market also isn’t as strong as it was in 2022, with structural transitions and additional wage increases rather unlikely, the economy not going through a post-lockdown boom and governments more hesitant to provide new fiscal stimulus.

At the current juncture, the risk of a wage-price spiral looks small. Still, in a ‘forever war’ scenario of a longer-lasting disruption of the Strait of Hormuz, oil prices above \$100/b for several months and knock-on effects on transportation, food prices, and more generally supply chains, are likely to force the ECB’s hand and consider rate hikes. In such a scenario, one or two symbolic rate hikes could be enough to preempt any second-round effects and could strengthen the ECB’s inflation-fighting credibility.

## No rate change next week but a more hawkish tone

For next week’s meeting, we don’t expect any rate moves. The latest round of staff projections will



be less relevant than normal, being just one of many input variables for the meeting. Who cares about some percentage point model-based revisions of inflation or growth forecasts if the oil price can move \$30/b in a few minutes?

The ECB will, however, try to use its second most powerful policy instrument, words, to keep inflation expectations at bay. Sounding a bit more hawkish by, for example, stating that the ECB stands ready to act, is monitoring the situation very closely and would not refrain from any preemptive rate hikes, looks like the most likely outcome. In this context, we don't expect Lagarde to repeat the phrase 'good place'. There is still no reason for the ECB to panic – but installing a panic room within that 'good place' might not seem like such a bad idea for now.

## Author

**Carsten Brzeski**

Global Head of Macro

[carsten.brzeski@ing.de](mailto:carsten.brzeski@ing.de)

## Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).



## 7 reasons why Europe can deal with a gas shock better than in 2022

Events in the Persian Gulf and the resulting LNG supply disruptions will give many in Europe flashbacks to 2022. However, we believe Europe is better placed now to weather this supply shock



Qatar Energy recently stopped producing LNG after drone attacks

### Persian Gulf energy supply shock sparks flashbacks to 2022

Europe had just about shaken off memories of the 2022 energy crisis. Global energy markets were set to be well supplied through 2026, suggesting weaker energy prices this year. But this view has been upended by developments in the Middle East. While the supply impact from the disruption in Persian Gulf energy flows is significant, particularly if we are to see prolonged supply issues, we do not think this is a repeat of 2022 for Europe - the impact is expected to be lower.

We do not believe [European gas prices will trade to the peaks seen in 2022](#); global gas markets are relatively better supplied, while a large pipeline of LNG export capacity is coming onto the market in the years ahead. That said, clearly, how high prices go will ultimately depend on how long supply disruptions in the Middle East persist. Expectations that gas prices will not reach the elevated levels of 2022 also suggest that electricity prices will be more contained.

In addition, Europe is relatively less exposed to the gas market, with the region having reduced its

reliance. EU gas demand is 16% below pre-Russia-Ukraine war levels. Furthermore, the EU would have learnt invaluable lessons from the 2022 energy crisis, which leaves it better prepared to navigate any future supply shocks.

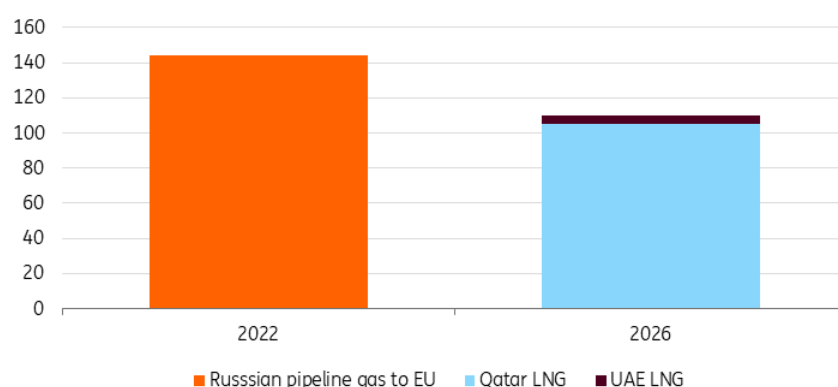
Here are seven reasons why we believe things are different this time for Europe.

## 1 The current energy shock should be temporary, 2022 was more structural for Europe

The amount of LNG disrupted by developments in the Persian Gulf is significant. Between Qatar and the UAE, roughly 110bcm of annual supply is currently affected, which is 20% of global LNG trade. The volumes are significant but still less than the 144bcm of Russian pipeline gas, which was at risk heading into 2022.

However, the key difference is that current supply disruptions are temporary. Yes, there is plenty of uncertainty about the duration of the disruption, but ultimately, supply will return. This is different from 2022, when the market was of the view that we were set to see a more structural shift in gas supply to Europe. Essentially, the market had the view that a loss in Russian gas supply would be final, with a very low probability that flows would ever resume.

### 2022 vs. 2026 gas supply disruptions-annual supply (bcm)



Source: Bruegel, ING Research

Note: Russian pipeline flows to the EU are 2021 volumes

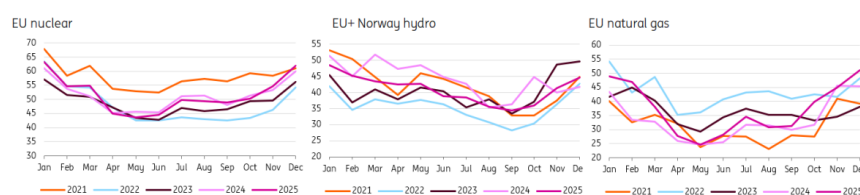
## 2 Europe faced a perfect storm in 2022

In 2022, it seemed that almost everything that could go wrong for Europe did. Not only was the region dealing with reduced gas flows from Russia, there was also uncertainty over further losses. But other sources of electricity generation also struggled.

The largest nuclear power producer in the EU, France, saw significant maintenance work carried out through much of the year due to corrosion issues, resulting in annual nuclear output falling to its lowest level since 1988 and 30% below the annual average over the last 20 years. Similarly, Europe was also having to deal with lower-than-usual hydro power output.

Lower nuclear and hydro meant the power sector had to lean more heavily on fossil fuels, including natural gas, for generation needs, at a time of significant supply uncertainty.

## European power generation by selected source (TWh)



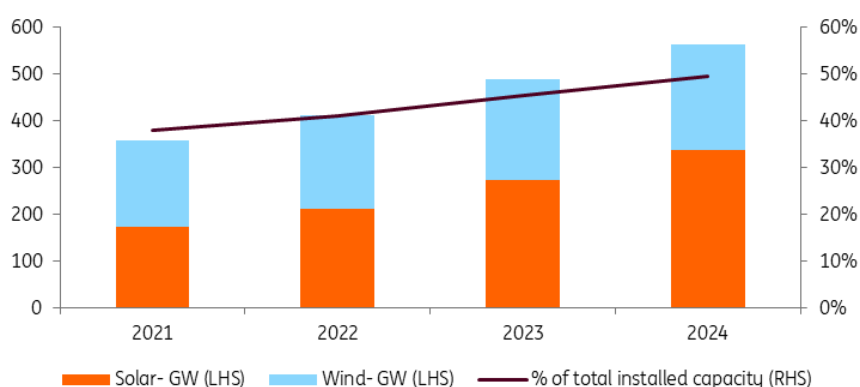
Source: Eurostat, ING Research

### 3 Installed renewables capacity in the EU has grown significantly

Renewables' capacity in the EU has also grown strongly since the end of 2021. Bloomberg New Energy Finance numbers show that installed capacity for solar and wind has surged by 57% between 2021 and 2024. Estimates suggest that capacity increased by a further 15% in 2025. This would have been supported by REPowerEU, the European Commission's plan to support energy transition and reduce the EU's dependence on Russian fossil fuels.

However, under the marginal pricing system in electricity markets, the highest-cost source of power sets the price, which is usually natural gas. This means stronger gas prices can still cause electricity prices to surge, even if gas power generation makes up a smaller part of the electricity mix. The European Commission is considering reviewing the system, though several member countries are pushing back against changing the current mechanism.

### Installed renewables capacity has grown in the EU



Source: BNEF, ING Research

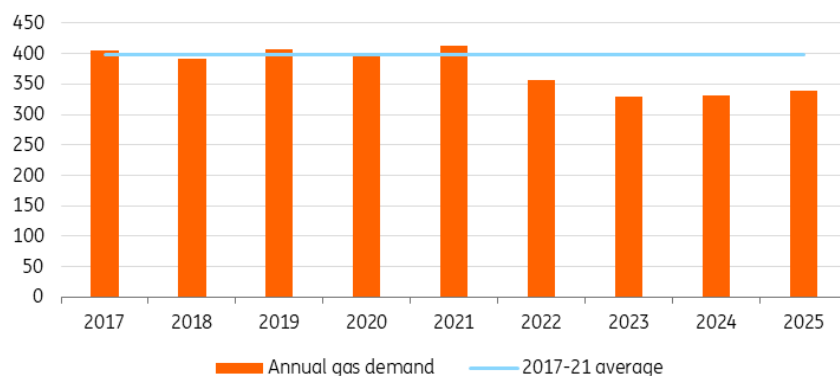
### 4 Europe has reduced its reliance on natural gas since 2022

From a demand perspective, the EU is also less reliant on natural gas supplies than it was prior to Russia's invasion of Ukraine. We have seen permanent demand destruction when it comes to natural gas following the energy crisis of 2022, and while gas demand has slowly edged higher since 2023, it is still 16% below 2017-21 levels.

The permanent loss in demand from the EU would be partly due to the ambitions of REPowerEU, but also to the lack of competitiveness of energy-intensive industries in Europe because of high energy prices. For example, the chemicals sector has seen production capacity fall by 9% since

2022.

## EU natural gas demand well below pre-Russia-Ukraine levels (bcm)



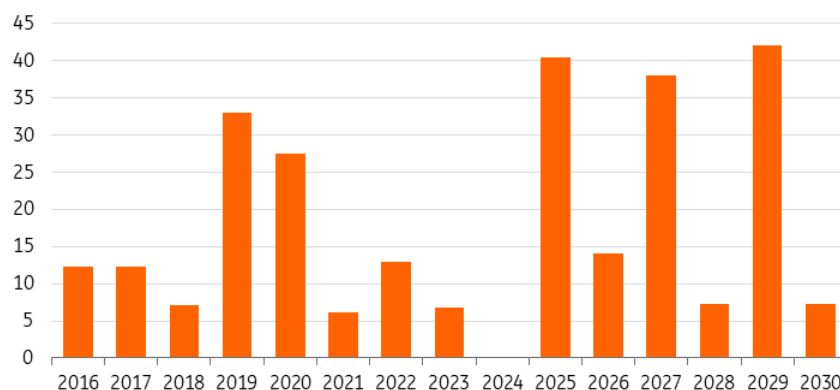
Source: Eurostat, ING Research

## 5 The pipeline of LNG export capacity is significant, a big change from 2022

The shift we saw from Europe in 2022 away from Russian pipeline gas towards LNG tightened up the global market significantly, leaving very little slack in the system and increasing competition for spot LNG supply. In addition, the pipeline of new LNG export capacity from the US was very thin around that time. Between 2021 and 2023, only around 25bcm of new capacity came online.

Currently, the loss of Persian Gulf LNG supply leaves the market tight. However, we do have a lot more LNG supply ramping up. Once again, this is driven by the US, where between 2025 and 2027, we have 93bcm of capacity additions. There is also around 42 bcm of capacity set to start up from Qatar by 2027. Although developments in the Persian Gulf mean that some of this capacity, which was set to start up in late 2026, will likely be pushed into 2027.

## Significant US LNG export capacity additions in the years ahead (bcm)



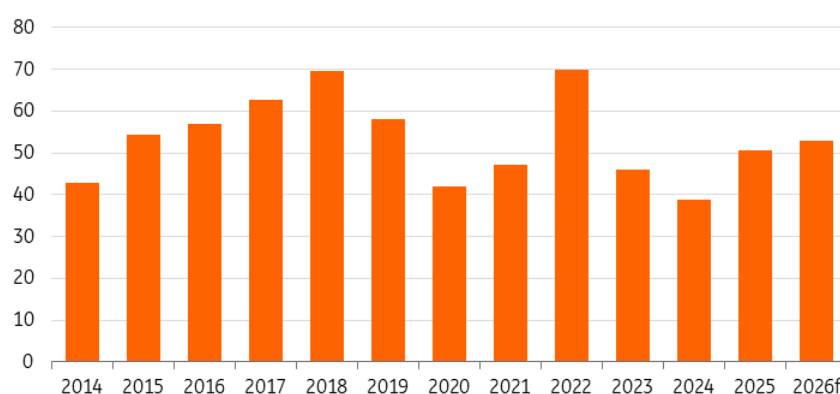
Source: EIA, ING Research

## 6 Europe has learnt a significant amount from the 2022 energy crisis (we hope)

One of the key drivers behind the surge in European natural gas prices in 2022 was the rush by European buyers to secure supplies, essentially buying gas at any cost. This led to the EU seeing significant net injections through 2022, in the region of 70bcm, compared to a 2017-21 average of around 55bcm. This was to ensure that the EU hit its 90% storage target by 1 November.

The EU has learnt important lessons from the 2022 energy crisis, and we are unlikely to see European buyers chasing the market higher to the degree we saw to ensure supply. Already in 2025, the EU made storage targets more flexible. While the 90% storage target remains, it can be achieved between 1 October and 1 December, and in unfavourable conditions, it could be as low as 75%.

### EU net injections in 2022 hit record levels, unlikely to see a repeat in 2026 (bcm)



Source: GIE, ING Research

## 7 Joint gas purchasing should reduce internal competition

One of the issues in 2022 was not only that Europe was having to compete with other regions for LNG supplies, but European buyers were competing with each other for supply, which only added further upside to European gas prices.

As a result, the EU launched AggregateEU in April 2023, which essentially led to a more coordinated approach to gas buying; EU gas demand was pooled and then matched with supply offers. According to the EU, between April 2023 and March 2025, close to 100bcm of gas demand was matched with supply through the platform. However, this does not mean that European buyers bought this amount of gas, given that bilateral negotiations would have taken place outside the platform after matching.

The European Commission sees it as a useful tool in pooling demand, reducing price volatility, increasing bargaining power and reducing internal competition for supplies, given that the mechanism is now permanent, and since July 2025, it has operated under the EU Energy and Raw Materials Platform.

## Author

**Warren Patterson**

Head of Commodities Strategy

[Warren.Patterson@ing.com](mailto:Warren.Patterson@ing.com)

## Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).

## Oil shock for Asia: identifying the key pressure points

Higher oil prices will hit Asia unevenly, with Thailand, the Philippines and Korea likely to feel the strain first, due to weak buffers, fast pass through and heavy import dependence, respectively. India and China are better cushioned by their ability to swap oil for coal, while Singapore and Taiwan benefit from strong fiscal and external positions



Refuelling in India, a country less exposed to oil shocks because coal still provides more than half of its energy

### Where the pressures points are likely to emerge

A key question for policymakers right now is how quickly rising oil prices will begin to strain Asian economies. Under a scenario where supply disruptions last for a month and then gradually ease throughout the year, we expect Brent crude oil to average US\$83/bbl, about \$15/bbl higher than the 2025 baseline.

Our previous work on import exposures shows that Thailand and Korea carry the largest oil and gas trade deficits in Asia and are therefore most exposed to supply shocks and price spikes. Taiwan, the Philippines, Singapore and India follow closely, facing meaningful but more varied vulnerabilities depending on domestic buffers and pricing policies.

Below, we discuss how the impact might differ across the region, shaped by each country's energy



mix, import dependencies, domestic fuel buffers and fiscal capacity to absorb subsidy costs.

## Asia's fragile energy buffers

Asia's energy resilience is uneven; while Japan and Korea can absorb shocks for longer, thinner LPG buffers and heavy LNG dependence leave several economies exposed. Those with limited reserves, particularly Indonesia, could face the sharpest pressure if supply risks continue to escalate.

Energy reserve adequacy varies sharply across Asia. Japan holds the deepest cushion, with reserves covering 254 days of domestic demand, followed by South Korea at 210 days. India maintains about 74 days, while the Philippines keeps close to two months' worth of supply across refined products.

While oil inventories appear broadly sufficient in the near term, LPG buffers remain notably thin, increasing vulnerability to price spikes and supply disruptions. With LNG prices up nearly 70% since the flare up, economies heavily reliant on imported gas – Thailand, Korea, and Japan – face outsized exposure to further volatility.

At the other end of the spectrum, Indonesia's reserves cover only about 25 days, placing it among the most at risk economies should disruptions persist into the second quarter.

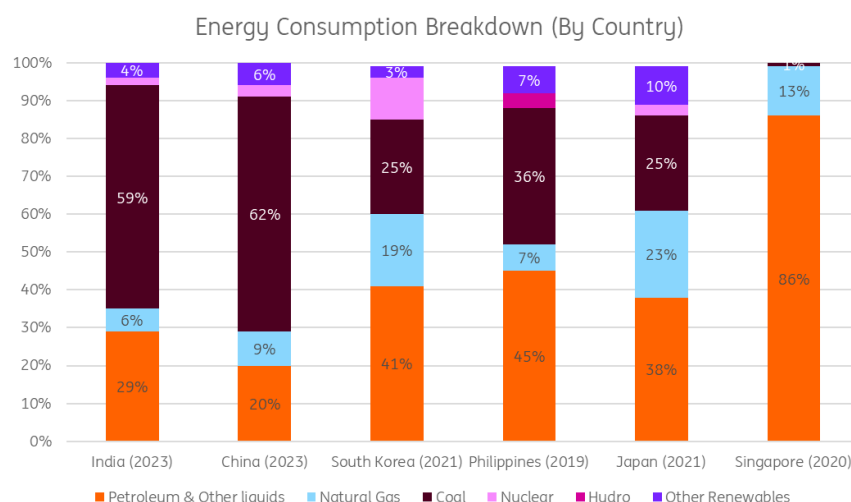
## A substitution cushion: coal dependence helps India and China

A key differentiator across the region is the scope of fuel substitution. India and China benefit from a built in shock absorber because more than half of their energy supply still comes from coal. Although both remain net coal importers, their ability to substitute oil with coal at the margin provides an important cost advantage. The contrast in recent market moves is stark: coal prices have risen only about 12% since the conflict began, compared with an approximate 70% surge in natural gas. This divergence gives India and China a meaningful substitution buffer that could reduce their exposure to oil and gas price spikes to some extent.

By contrast, Korea has limited room to substitute. Its high dependency on both oil and gas leaves it exposed, even though the government has temporarily capped domestic petroleum prices. A weakening Korean won further amplifies imported inflation, prompting us to raise our 2026 CPI forecast by 0.2ppt to 2.2%, with upside risks if Brent remains above \$80/bbl.

If the government continues to cap retail prices without offering subsidies, refiners will have to absorb the widening cost gap, which may not be a feasible solution for the medium term.

## More than half of energy for India and China comes from coal



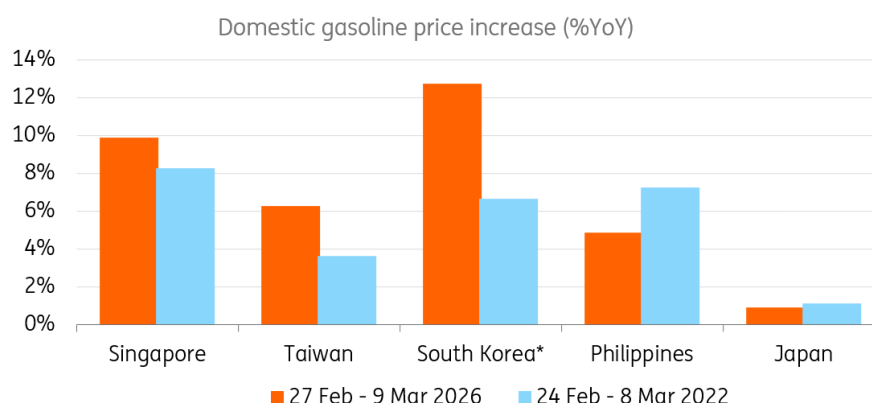
## Tolerance levels: Singapore and Taiwan have the deepest fiscal cushion

Asian governments are responding very differently to higher crude prices, reflecting differences in subsidy systems, fiscal buffers and political willingness to pass costs through. Several economies – including Indonesia, Japan and India – are prioritising price stability and have held retail fuel prices unchanged despite rising global benchmarks, relying on state owned oil companies or fiscal support to cushion consumers. By contrast, Singapore and the Philippines have already raised pump prices by 10-13% since 2 March, signalling a deliberate policy choice to allow earlier pass through.

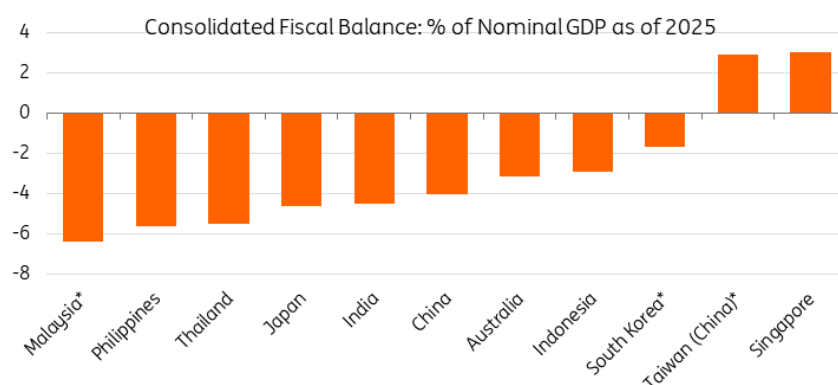
If disruptions escalate, Singapore and Taiwan appear best positioned to sustain higher oil prices, supported by relatively strong fiscal positions, healthier current account dynamics and greater capacity for targeted support. India also has meaningful tolerance, with state owned oil companies able to absorb losses until crude exceeds \$130/bbl. This has kept petrol and diesel prices stable so far, although the government has adjusted LPG prices upwards.

Indonesia, however, faces a far tighter constraint. Officials have indicated a “worst case scenario” of crude averaging \$92/bbl, well above the \$70/bbl assumption in the 2026 budget – highlighting limited room to manage sustained shocks without broader fiscal strain. The Philippines has even less of a buffer: domestic gasoline prices rose 5% last week with another 12% increase announced, underscoring its rapid pass through, narrow subsidy capacity and higher sensitivity to global price swings.

## Some countries have already seen steep domestic fuel price hikes



## Singapore and Taiwan have strong fiscal buffers



## The Philippines: fastest pass-through, higher near-term risk

The Philippines is likely to feel higher oil prices sooner than most Asian counterparts, such as Thailand or Indonesia, given its modest fuel buffers, rapid domestic price pass through and a structurally wider current account deficit. As one of the region's most oil dependent economies, alongside Thailand, Korea, Vietnam and Singapore, a sustained rise in crude has meaningful external implications. The strain is already visible, with several local governments shifting to four day work weeks in response to the recent surge in fuel costs.

Inflation dynamics will depend on how quickly higher energy costs spill over into transport, electricity and food. The 2022 episode – when inflation jumped from 4% to 8.5% as oil averaged around \$100/bbl – showed how sensitive the economy is to simultaneous increases in fuel and food prices, especially when the currency depreciates. Conditions today are somewhat more stable, with rice supply from Vietnam intact and agricultural availability generally adequate. However, forward risks remain. Fertiliser prices could rise if Middle East supply tightens, eventually pressuring yields and food prices later in the year, a meaningful vulnerability given the Philippines'

exposure to imported food and fuel.

Overall, we are increasing our current account deficit forecast for the Philippines to 4% of GDP in 2026. A \$15/bbl increase in Brent crude could widen the Philippines' current account deficit by around 0.7% of GDP, assuming stable demand. This would increase the risk of renewed peso weakness if elevated oil prices persist. In our scenario of sustained oil disruptions for a month, CPI inflation for the Philippines is expected to inch closer to the upper end of 4% of the BSP's target range.

## Market impact

While Singapore, Korea, and Taiwan benefit from sizeable current account surpluses that help absorb higher import costs, Thailand's surplus is far more modest, leaving it with less of a buffer. Meanwhile, India and the Philippines stand out as the only major economies running structural current account deficits, though India has kept its gap contained at roughly 1% of GDP in recent years.

Foreign exchange reserve adequacy adds another layer to the risk profile. Malaysia, Indonesia, and South Korea hold comparatively lower FX cover relative to their import needs, making them more exposed to a prolonged rise in crude prices. In contrast, the Philippines and India maintain stronger FX buffers, giving their central banks greater capacity to manage currency pressures if oil related outflows intensify.

**Philippines:** Given the upward revision to our CPI forecasts, we no longer expect the BSP to cut rates this year. Persistently higher oil prices also pose a risk of further delaying the recovery in GDP growth, which is already starting from a muted base. We maintain our 2026 GDP forecast at 5.2%, with a meaningful upturn expected only in the second half of the year. We anticipate weak growth pressures to persist in the first half of 2026, at least, as ongoing investigations and unresolved political and oil price uncertainty continue to weigh on both business confidence and broader economic sentiment.

**India:** Oil price risks remain manageable for now, as oil marketing companies are absorbing the increase in crude costs without passing them through to retail prices. As a result, we are keeping our CPI inflation forecast unchanged and continue to expect inflation to average below the RBI's medium term target of 4% in 2026. However, the INR remains vulnerable, as higher crude prices are likely to widen the current account deficit and exert additional pressure on the currency.

**Indonesia:** As a net exporter of oil and gas, Indonesia typically benefits from higher global oil prices; however, already strained fiscal balances risk further deterioration as the government increases subsidies on retail fuel. The widening fiscal deficit has already weighed on the IDR, and further deterioration could amplify this pressure.

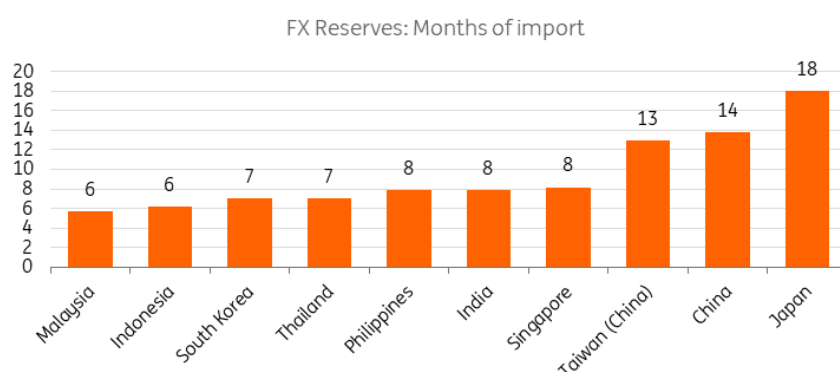
At the same time, Indonesia's real rate differential versus the US has narrowed sharply – by more than two percentage points between November 2025 and February 2026 – adding to currency headwinds. Compounding this, sizeable foreign investor outflows from government debt since September 2025 and weakening appetite for Indonesian equities in 2026 have further weighed on the IDR, and with investor caution likely to keep FII inflows subdued, we expect additional depreciation pressure ahead.

With relatively lesser pass-through of higher oil prices to retail prices for petroleum products, we

are keeping our CPI inflation forecast unchanged at 2.6%. Given the soft domestic growth outlook, we believe BI's easing cycle is not yet complete. Once the currency stabilises, further rate reduction remains likely to support growth. We currently expect two additional 25bp cuts in the first half of 2026, though the risks are skewed toward a delay.

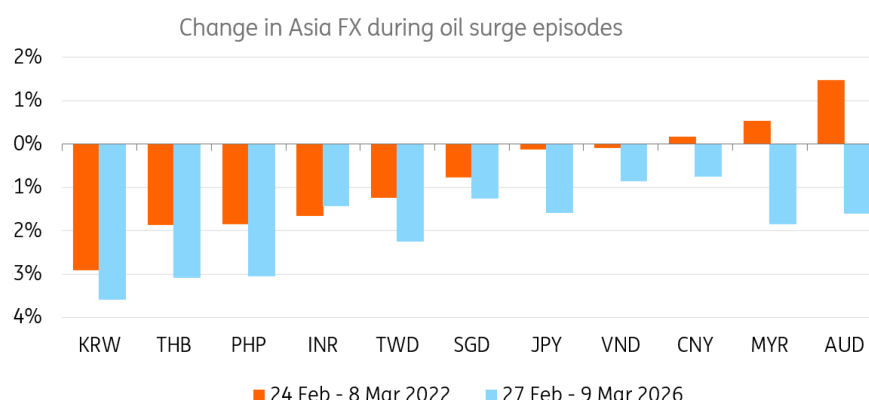
**Singapore:** Given the expected pass through from higher crude oil prices to domestic pump prices, we are raising our 2026 Singapore headline CPI inflation forecast from 1.8% to 2.0%. Singapore has emerged as a standout performer in Asia, with GDP growth in 2025 significantly surpassing expectations; 4Q25 growth accelerated to 6.9% YoY, driven by a sharp rebound in manufacturing, particularly pharmaceuticals and electronics. The city state has been a clear beneficiary of AI related demand and has maintained competitiveness through its relatively low tariff exposure, supporting robust export performance, a trend we expect to persist. Against this backdrop of strong growth and firming inflation, we continue to anticipate that the Monetary Authority of Singapore will tighten its FX policy stance in April. Singapore's strong fiscal position and substantial current account surplus should also help limit depreciation pressures on the currency.

## Malaysia, Indonesia, and South Korea hold comparatively lower FX cover to smoothen FX vols



Source: CEIC, ING Research

## FX moves this time have been relatively large vs. 2022



Source: Bloomberg

In conclusion, higher oil prices will strain Asia unevenly, with Thailand, the Philippines and

Korea facing the earliest pressure due to weak buffers, fast pass through and sizeable import dependence, respectively. India and China are better cushioned by coal substitution, while Singapore and Taiwan benefit from strong fiscal and external positions.

Market risks are most acute where reserves are thin and current account deficits widen – particularly the Philippines and Indonesia.

## Asia FX forecasts

| Currency pair | Spot as on 11 March<br>Current | ING forecasts |        |   |        |
|---------------|--------------------------------|---------------|--------|---|--------|
|               |                                |               | 1M     |   | 12M    |
| USD/CNY       | 6.86                           | ↑             | 6.86   | ↓ | 6.75   |
| USD/KRW       | 1,474                          | ↑             | 1,475  | ↓ | 1,400  |
| USD/INR       | 92                             | ↑             | 92.5   | ↓ | 90     |
| USD/IDR       | 1,6870                         | ↑             | 16,900 | ↓ | 16,800 |
| USD/PHP       | 59.1                           | ↑             | 5,9.85 | ↓ | 59     |
| USD/SGD       | 1.27                           | ↑             | 1.28   | ↓ | 1.27   |
| USD/TWD       | 31.7                           | ↑             | 31.9   | ↓ | 31     |

Source: ING research

## Author

**Deepali Bhargava**

Regional Head of Research, Asia-Pacific

[Deepali.Bhargava@ing.com](mailto:Deepali.Bhargava@ing.com)

## Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).



## Assessing the global economic impact of the Middle East war

The Middle East war remains highly unpredictable, with even seasoned analysts unable to gauge how it might end. Here, we outline what the conflict could mean for the global economy



Escalating US-Iran confrontation raises the risk of regional spillovers with global economic consequences

Needless to say, the war in the Middle East is one of these fast-moving environments, and even the best geopolitical analysts are struggling to predict how it could end. For financial markets, the branching point is simple and more brutal: does this end in days, or does it become a forever war that involves an entire region? Crucial factors here are whether, how and when there could be a regime change in Iran; the duration and intensity of US involvement; and the length and severity of any disruption to traffic through the Strait of Hormuz.

In shaping our view, we are working with a base case scenario that assumes roughly two weeks of ongoing combat, involving not only the US, Israel and Iran but the entire Middle East region. Air traffic will be down and the Strait of Hormuz will be basically blocked. After these two weeks, political instability in Iran will remain, but broader uncertainty will recede and the Strait of Hormuz will gradually reopen. Within four to six weeks, conditions could return close to the pre war environment, albeit with elevated levels of uncertainty. Given that there is no historical evidence of quick and smooth regime change in any country, the risk to our base case scenario is clearly to the downside. Think of 'boots on the ground', much longer-lasting military action or Iranian retaliation via activated sleeper cells or cyberattacks on US targets or even US territory.

## Global trade: A supply shock at the worst possible moment

The Iran war is unfolding against a global trading system already strained by Trump's tariff offensive and the lingering fragmentation of supply chains since Covid and the war in Ukraine. The Strait of Hormuz is the single most important chokepoint in global energy trade, and it now sits in an active warzone.

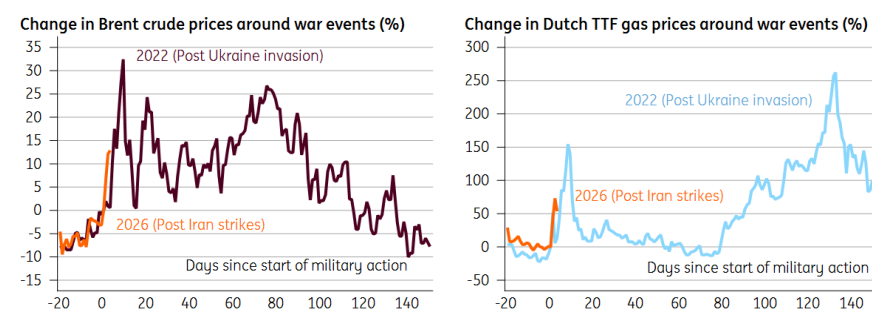
Even without a formal blockade, the commercial consequences are already emerging: insurers are cancelling cover, shipping premiums are spiking, and vessels are re-routing or pausing transits. The knock-on effects extend well beyond energy. Gulf airspace closures are disrupting aviation corridors between Europe and Asia. Houthi reactivation in the Red Sea would close the alternative routing valve that kept goods moving during earlier episodes of Hormuz tension.

The combination of higher energy costs, disrupted logistics, and a generalised confidence shock would constitute a meaningful drag on global trade volumes at precisely the moment the world economy was still digesting the inflationary and growth consequences of the tariff shock. The mother of all bad timings.

## How the current energy supply risks compare to 2022

For oil and gas markets, there will likely be some parallels made with 2022 and Russia's invasion of Ukraine. The oil supply at risk from a successful blockade of the Strait of Hormuz is roughly 15-20% of global supply, depending on how much supply the Saudis can divert by pipeline to the Red Sea. This is significantly higher than the 7-8m b/d of Russian oil supply (which is around 7-8% of global supply) that was at risk during the early days of the Russia-Ukraine war, when we saw Brent spike to almost \$140/bbl.

## How the reaction in energy markets compares to 2022



Source: Macrobond, ING

However, helping to a certain degree at the moment is the fact that oil inventories are more comfortable than they were in the lead-up to Russia's invasion of Ukraine. OECD stocks are in the region of 200m barrels higher now than prior to the Russia/Ukraine war. Still, a two-week full blockade would essentially see this buffer disappear, leaving significant upside to prices.

For natural gas, as much as 125bcm of LNG flows are at risk, which is around 3% of global natural gas consumption, but 22% of global LNG trade. However, the roughly 15bcm that Oman exports will be at less of a risk, given cargoes don't need to navigate the Strait of Hormuz, but will still be in close proximity to danger.

In the lead-up to Russia's invasion of Ukraine, close to 160bcm of Russian gas (pipeline and LNG to the EU) was at risk. The market is relatively better positioned now, given the build-up of LNG export capacity, largely from the US. Since the beginning of 2025, we have seen around 40bcm of US capacity starting up, while a further 14bcm is set to start this year, and there will be significantly more in the years ahead. However, in the immediate term, capacity additions fall well short of potential Persian Gulf supply losses.

A tighter market would see Asia and Europe competing more aggressively for LNG cargoes, pushing up prices. Price-sensitive buyers in Asia will likely step back from the market, while Europe would likely not make the same mistake as it did in 2022, where buyers bought aggressively regardless of price levels.

In the eurozone – and similarly in the US – the labour market is another important way in which today differs from 2022. In the UK, for example, worker shortages were still widespread in 2022, which amplified the pass through from higher inflation to wage growth. The jobs market is now much cooler, so that mechanism should be far less pronounced. The same likely applies to the eurozone, judging by European Commission surveys showing fewer firms reporting labour shortages as a constraint on production.

At the same time, what is different from a macro perspective compared with 2022 is the fact that in 2022 most major economies looked resilient and governments, which had already introduced fiscal support during the pandemic, announced more measures to prevent too much of a purchasing power loss due to higher energy prices.

## **The US: Fighting a war that raises domestic prices**

For the US, even though trade exposure to the Strait of Hormuz is limited, higher global oil prices would fuel the current cost-of-living crisis. US consumers are already stretched, and gasoline prices are acutely politically sensitive going into midterm territory. Higher oil prices would also complicate the Federal Reserve's future monetary policy path.

A second supply-side inflation shock, while the inflationary impact from tariffs is still unfolding, could make further rate cuts hard to justify, at least in the near term. At the same time, if the conflict drags and uncertainty weighs on business investment and consumer confidence, the growth outlook darkens too.

The one partial offset is that the US itself is a major oil producer; higher oil prices benefit the shale patch and improve the terms of trade for domestic energy, even as they hurt consumers. But that balance is politically awkward to explain and economically insufficient to compensate for the broader damage.

## **The eurozone: The most exposed major economy**

Europe is where the macro consequences hit hardest, and the timing could not be worse. The eurozone was finally emerging from its long period of stagnation, with tentative green shoots of recovery emerging – though recently, these have been undermined by new uncertainty regarding tariffs. Now the region could face an energy shock on top of a trade shock.

Europe imports essentially all of its oil and a significant share of its LNG. A surge in energy prices and potentially even energy supply disruption could bring back memories of the energy cost crisis

from late 2021 to 2023. There are currently two important differences compared with the situation back then: Europe doesn't have to 'derisk' from a single important energy provider, and the oil price crisis comes at the end of the winter, not the start. Whether eurozone governments will be able (and willing) to quickly offset any purchasing power losses via new fiscal support, however, is less clear. Fiscal capacities are more under pressure than in 2022.

The European Central Bank is caught in a genuine dilemma. Services inflation is still sticky, and an oil shock would push headline inflation higher – yet the growth outlook is simultaneously deteriorating under the combined weight of tariffs, uncertainty, and now energy costs. In December, ECB analysis showed that a 14% increase in oil prices and 20% in gas prices would push up inflation by 0.5ppt and could reduce GDP growth by 0.1ppt. However, this would only be the price effect, not the supply chain disruption effect. Given the still relatively fresh memories of the recent inflation surge, the ECB is unlikely to see any new oil price-driven inflation spike as transitory or even deflationary. However, to see a rate hike, the eurozone economy would have to show clear resilience.

## Asia: Inflation and trade balances could come under strain

For now, Asia seems to be able to absorb the jump in oil prices, thanks to the low starting points, with inflation broadly in control in most of Asia. However, the severity and persistence of higher prices will ultimately determine the impact. If sustained, Asia is particularly vulnerable to oil price volatility because it relies so heavily on imports; except for Australia, Malaysia and Indonesia, all other economies run deficits in oil and gas trade, leaving them exposed when energy costs rise. If higher prices persist, three factors will shape the impact:

1. Heavy dependence on Middle Eastern oil: A significant share of Asia's crude supply comes from the Persian Gulf. Japan and the Philippines rely on the region for almost 90% of their oil needs, while China and India import roughly 38% and 46%, respectively. Any disruption in the Strait of Hormuz – a critical shipping lane – would restrict supply, potentially causing shortages that slow business activity and put pressure on manufacturing across Asia.
2. Trade balances under strain: Even without a physical supply disruption, higher global oil prices worsen trade balances and add to inflation pressures. Thailand, Korea, Vietnam, Taiwan, and the Philippines are the most exposed. A mere 10% rise in oil prices can deteriorate current account balances by 40-60 basis points. Prolonged increases would only deepen these deficits.
3. Strong inflation pass through: Because many emerging Asian economies have a relatively high weight of energy in their consumer inflation baskets, rising oil prices feed quickly into headline inflation. On average, a 10% increase in oil prices raises CPI inflation by about 0.2 percentage points.

Our base case had headline inflation across most of Asia rising in 2026 but still staying within most central bank targets. But a price shock of this magnitude – if it lasts – would likely push inflation above target ranges and increase the pressure on central banks to tighten policy sooner rather than later.

## Author

### Carsten Brzeski

Global Head of Macro

[carsten.brzeski@ing.de](mailto:carsten.brzeski@ing.de)

### Warren Patterson

Head of Commodities Strategy

[Warren.Patterson@ing.com](mailto:Warren.Patterson@ing.com)

### James Knightley

Chief International Economist, US

[james.knightley@ing.com](mailto:james.knightley@ing.com)

### Deepali Bhargava

Regional Head of Research, Asia-Pacific

[Deepali.Bhargava@ing.com](mailto:Deepali.Bhargava@ing.com)

## Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit [www.ing.com](http://www.ing.com).